and make decisions independently. For example, how do you determine the price of bread in a free market? Well, every bakery may produce as much bread as it likes, and charge for it as much as it wants. The customers are equally free to buy as much bread as they can afford, or take their business to the competitor. It isn't illegal to charge $1,000 for a baguette, but nobody is likely to buy it.

On a much grander scale, if investors predict increased demand for bread, they will buy shares of biotech firms that genetically engineer more prolific wheat strains. The inflow of capital will enable the firms to speed up their research, thereby providing more wheat faster, and averting bread shortages. Even if one biotech giant adopts a flawed theory and reaches an impasse, its more successful competitors will achieve the hoped-for breakthrough. Free-market capitalism thus distributes the work of analysing data and making decisions between many independent but interconnected processors. As the Austrian economics guru Friedrich Hayek explained, 'In a system in which the knowledge of the relevant facts is dispersed among many people, prices can act to coordinate the separate actions of different people.'[2]

According to this view, the stock exchange is the fastest and most efficient data-processing system humankind has so far created. Everyone is welcome to join, if not directly then through their banks or pension funds. The stock exchange runs the global economy, and takes into account everything that happens all over the planet – and even beyond it. Prices are influenced by successful scientific experiments, by political scandals in Japan, by volcanic eruptions in Iceland and even by irregular activities on the surface of the sun. In order for the system to run smoothly, as much information as possible needs to flow as freely as possible. When millions of people throughout the world have access to all the relevant information, they determine the most accurate price of oil, of Hyundai shares and of Swedish government bonds by buying and selling them. It has been estimated that the stock exchange needs just fifteen minutes of trade to determine the influence of a *New York Times* headline on the prices of most shares.[3]